

Promotional Sunset Playbook

A strategic framework for phasing out promotional discounts among loyal customer segments — improving margins without sacrificing retention.

BADGAR RUSHIPRASAD RAMESH — 230103024

SHIMPI — 230107066

Executive Overview

Current Situation

-
-
-
- spend \$77 on average
- **Key Insight:** High Loyalty customers actually use
despite being your most valuable group

The Opportunity

By sunsetting discounts for **Genuinely Loyal customers (392 customers)**, you can improve margins without losing their business.

43%

Purchases with Discounts

Of all purchases across the entire customer base

30%

High Loyalty Share

Of the total customer base —

66.5%

Discount Usage Rate

Among High Loyalty customers — higher than any other segment

\$77

Average Spend

Per transaction for High Loyalty customers

Target Segment Identification

Segment	of Base	Current Discount Usage	Avg Spend	Subscription Rate
Genuinely Loyal (No Discounts Needed)	392 /		High	High
Valuable but Promo-Driven	778 /		\$77+	
High Loyalty (Combined)	1,170 /		\$77	

 **Primary Sunset Target:** Valuable but Promo-Driven (778 customers) | **Secondary Sunset Target:** Genuinely Loyal (392 customers) — already not using discounts

Trigger Behavior Definition

A customer qualifies for promo sunset when they meet **ALL** of the following criteria:

1

Loyalty Tier

High Loyalty — Loyalty Score ≥ 60

2

Purchase History

5+ previous purchases

3

Subscription Status

4

Recent Activity

Purchased within last 30 days (assumed based on data pattern)

Current Baseline — High Loyalty Segment

34.3

Average Previous Purchases

57%

Subscription Rate

\$77

Average Spend

Rollout Timeline — 8 Weeks

Test Group Size:

-Driven segment)

Phase 1 — Weeks 1-2

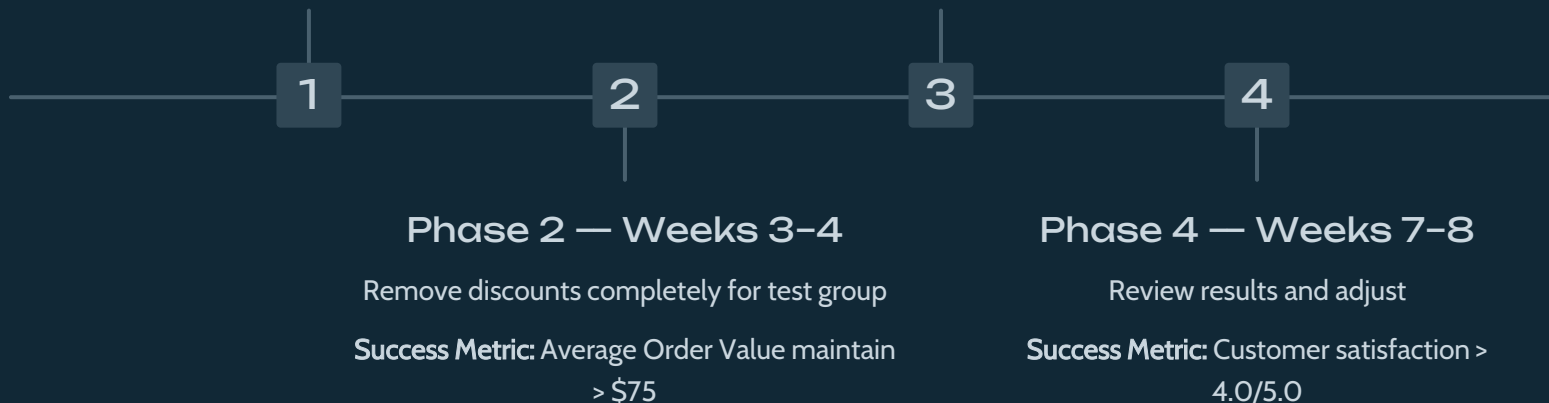
Phase 3 — Weeks 5-6

Full rollout to all Valuable but Promo-Driven customers

Success Metric:

of baseline

Success Metric:

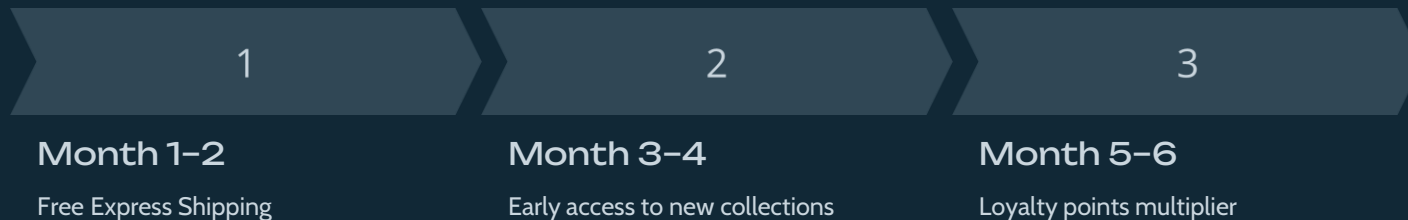


Replacement Incentives

Instead of traditional percentage discounts, offer these value-driven alternatives that preserve margin while maintaining customer satisfaction.

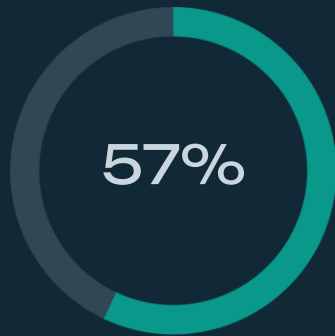
	Offer This	Expected Cost	Retention Impact
15–	Free Express Shipping	\$5–8 per order	High
10–	Early access to new collections	\$0	Very High
5–	Double loyalty points	Minimal	Medium
Buy-one-get-one	Free gift with purchase	\$5–10	Medium

Recommended Phased Approach

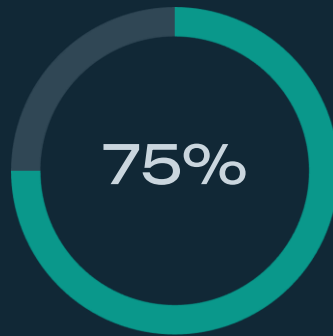


Metrics to Track

Metric	Baseline (High Loyalty)	Target	How to Measure
Repeat Purchase Rate	34.3 avg purchases	> 30 avg	Weekly cohort analysis
Average Order Value	\$77	> \$75	Weekly tracking
Subscription Rate			Monthly
Customer Satisfaction	3.77/5.0	> 4.0/5.0	Post-purchase surveys
Margin per Customer	Current margin + 15–		Weekly P&L tracking

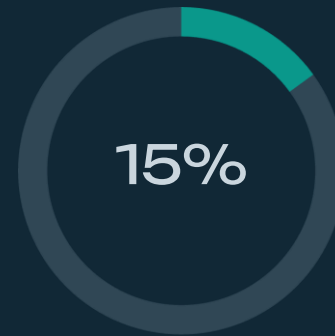


Baseline Subscription



Satisfaction Target

4.0 out of 5.0



Margin Lift Target

Weekly P&L tracking

Expected Financial Impact

Current State — High Loyalty (1,170 customers)

- Annual Revenue: \$90,305
- Average Discount Used:
- Estimated Margin Loss from Discounts: ~\$9,000–12,000/year

After Promo Sunset

Full rollout to 778 Valuable but Promo-Driven customers

Scenario Analysis

Scenario	Margin Improvement	Revenue Change	Net Impact
	+\$6,000		+\$3,500
	+\$9,000		+\$7,500
	+\$12,000		+\$12,000

✓ Expected Annual Margin Improvement: \$7,500 – \$12,000

Risk Mitigation

Risk	Likelihood	Impact	Mitigation Strategy
Customer Churn	Medium	High	
Revenue Decline	Low	Medium	Phase rollout; track weekly
Competitor Poaching	Medium	Medium	Monitor competitor offers; match strategically
Negative Reviews	Low	Low	Proactive communication about new loyalty benefits

Test-First Approach

target segment (195 customers)
limits exposure while generating
real data before full commitment.

Proactive Communication

Frame the change as an upgrade to
loyalty benefits — not a removal of
perks. Customers respond better
when they feel valued.

Weekly Monitoring Cadence

Track revenue, AOV, and
satisfaction weekly to catch
negative signals early and pivot
before they become systemic.

Success Criteria

This promo sunset is **successful** if, after 8 weeks, all four conditions are met:



✓ Margin Improves by $\geq 10\%$

Weekly P&L tracking confirms sustained margin lift across the test group



✓ Repeat Purchase Rate > 30

vs. 34.3 baseline — measured via weekly cohort analysis



✓ Satisfaction $\geq 3.5/5.0$

Customer satisfaction does not drop below threshold — tracked via post-purchase surveys



✓ 70% of Test Group Remains Active

-customer test group continues purchasing post-sunset

The Promo Sunset Playbook is not about removing value — it's about replacing costly discounts with smarter loyalty incentives that protect margins and strengthen long-term customer relationships.